25STCV08698 25STCV08698

County: los-angeles

Division: Civil Law and Motion

Department: 833

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Case Number: 25STCV08698 Hearing Date: August 21, 2026 Dept: 833

Jennifer Troia (as Director of

Department of Case No. 25STCV08698

Social Services) Hearing: August 21, 2026

v. Location:

Stanley Mosk Courthouse

Department:

833

The Foodbank of Southern California, et.

al. Judge: Joseph Lipner

[Tentative] Order on

Application for Writ of Attachment

INTRODUCTION

Plaintiff Jennifer Troia, in her role as Director of the California Department of Social Services (the “Department”) has sued Defendant The Foodbank of Southern California (“Defendant”), along with a number of other defendants, some of whom are briefly mentioned in this ruling. The Department moves for a writ of attachment against Defendant in the amount of $13,074,987.74.

The

Court tentatively GRANTS the writ of attachment. The Court invites argument, however, on the question of whether the attachment amount is properly established.

LEGAL STANDARD

“Upon the filing of the complaint or at any time thereafter, the plaintiff may apply pursuant to this article for a right to attach order and a writ of attachment by filing an application for the order and writ with the court in which the action is brought.” (Code Civ. Pro. § 484.010.) “Except as otherwise provided by statute, an attachment may be issued only in an action on a claim or claims for money, each of which is based upon a contract, express or implied, where the total amount of the claim or claims is a fixed or readily ascertainable amount not less than five hundred dollars ($500) exclusive of costs, interest, and attorney's fees.” (Code Civ. Pro. § 483.010.)

The court shall issue a right to attach order if the court finds all of the following:

(1) The claim upon which the attachment is based is one upon which an attachment may be issued.

(2) The plaintiff has established the probable validity of the claim upon which the attachment is based.

(3) The attachment is not sought for a purpose other than the recovery on the claim upon which the attachment is based.

(4) The amount to be secured by the attachment is greater than zero.

(Code Civ. Pro. § 484.090.)

“A claim has ‘probable validity’ where it is more likely than not that the plaintiff will obtain a judgment against the defendant on that claim.” (Code Civ. Pro. § 481.190.) “The application shall be supported by an affidavit showing that the plaintiff on the facts presented would be entitled to a judgment on the claim upon which the attachment is based.”¿(Code Civ. Pro. § 484.030.)¿“In contested applications, the court must consider the relative merits of the positions of the respective parties and make a determination of¿the probable outcome of the litigation.”¿ (Hobbs v. Weiss (1999) 73 Cal.App.4th 76, 80.) “The Attachment

Law statutes are subject to strict construction.” (Epstein v. Abrams (1997) 57 Cal.App.4th 1159, 1168.)

EVIDENTIARY OBJECTIONS

Defendants submitted 27 objections to the evidence presented by the Department. The Court has reviewed the substantive grounds for each objection and overrules all of them.

DISCUSSION

A. Probable Validity of the Department’s Claim

The application is based on the Department’s cause of action for breach of contract.

The Department previously sought attachment against Defendant. The parties resolved that application through the January 29, 2026, Stipulated Order, which prohibits Foodbank from selling, transferring, or encumbering 1444 San Francisco Avenue and 828 West Cowles Street without further court order or final judgment.

The Department oversees government programs that provide critical food to vulnerable communities in need, including the Emergency Food Assistance Program (TEFAP); CalFood Program (CalFood); Emergency Food for Families Voluntary Tax Contribution Fund; California Food Bank Capacity Program; Coronavirus Response and Relief Supplemental Appropriations; Coronavirus Aid, Relief, and Economic Security Act and Build Back Better Initiative; Coronavirus Relief Funds (CRF); and Trade Mitigation Food Purchase and Distribution Program (collectively, the Programs). (Kaiser Decl., ¶ 35.) Defendant was a TEFAP-eligible food bank from approximately 2006 to October 2024. (Kaiser Decl., ¶¶ 36, 46.)

A series of Memoranda of Understanding and other contracts governed the parties’ rights and responsibilities (Agreements) from 2016 to 2024. (See, e.g., Exhs. 1-5, Agreements.) The Agreements required Defendant to receive USDA-provided commodities for packaging, storage, and distribution; maintain accurate records to document their inventory of commodities, maintain written records and procedures demonstrating compliance with all state and federal requirements; and restrict use of funds to purposes approved by the Agreements. (Exhs. 1-3, at pp. 1-2, 4-6; Exh. 4, at pp. 5-7; see 7 C.F.R. § 250.19 [recordkeeping requirements], § 251.10 [reports and recordkeeping]; 2 C.F.R. § 200.337 [access to records].) Defendant was required to limit its expenditure of Program funds to "allowable" costs, i.e., costs that are necessary and reasonable for performance under the Programs. (2 C.F.R. § 200.404 [reasonable costs], § 200.403 [allowability of costs]; see Exh. 17, 2025 Cmpl. Rev., at pp. 4, 8 [allowable costs].)

Under the Agreements, Defendant was prohibited from engaging in self-dealing. (Kaiser Decl., ¶¶ 161-163; 2 C.F.R. § 200.318(c)(1) [procurement requirements], § 200.319 [competition], § 200.404(b) [reasonableness of costs]; 7 C.F.R. § 251.8(b) [applicability].) Defendant could not transact with any of its officers or directors, any relative by blood or marriage of such a person, or any entity in which such a person had a beneficial interest, absent full disclosure to and approval by the Board and a determination that the transaction was fair and reasonable to Defendant and for its own benefit. (Exh. 32, 1992 Bylaws, at p. 11; Exh. 33, 2023 Bylaws, at p. 4; Exh. 49, Form 990s [affirming conflict-of-interest policy].)

The Programs are "self-certification" programs, so in submitting a signed Request for Reimbursement (RFR) to the Department, Defendant "self-certified" that the expenses met all program eligibility requirements and complied with the Agreements. (Kaiser Decl., ¶ 37; Exh. 17, 2025 Cmpl. Rev., at pp. 2-3; see, e.g., Exh. 20, RFR, at p. 1.) The Department then reimbursed Defendant for expenses that Defendant attested under penalty of perjury that it incurred for the benefit of Defendant and in compliance with the Agreements and governing law. (Kaiser Decl., ¶¶ 38, 164.)

The Department retained the right to cancel the Agreement(s) immediately upon receipt of evidence that Defendant was not in compliance with the terms of the Agreement(s) or any TEFAP terms and conditions. (Exhs. 1-3, at p. 7; Exh. 4, at p. 8.) Moreover, federal regulation requires recoupment of "[p]ayments made for costs determined to be unallowable[.]" (2 C.F.R. § 200.410; see also 2 C.F.R. § 200.1.)

In June 2024, the Department received an anonymous whistleblower complaint alleging financial misappropriation at Defendant. (Kaiser Decl., ¶ 41; Exh. 6, Whistleblower e-mail.) In response, the Department conducted a compliance review at Defendant's Long Beach headquarters. (Kaiser Decl., ¶¶ 42-43.) The Department contacted the California Highway Patrol (CHP) regarding its findings, and CHP obtained a search warrant which it executed on September 26, 2024, at Defendant's headquarters, accompanied by Department staff. (Kaiser Decl. at ¶¶ 44-45; Exh. 7, Search Warrant.)

On September 26, 2024, the Department terminated the Grant Agreement and MOU-22 with Defendant. (Kaiser Decl., ¶ 46.) After terminating its contracts with Defendant, the Department repossessed several pieces of equipment that Defendant had purchased with Program funds. (Kaiser Decl., ¶ 47.)

Defendant subsequently informed the Department that it had commissioned an investigation earlier that year regarding the suspected theft and fraud of Cooper (apparently. Jeanne Cooper), one of the other defendants. (Matsushima Decl., ¶¶ 17-18.) Defendant provided the Department with the resulting report prepared by Affiliated Monitors, Inc. (AMI Rep.), which articulates findings of financial mismanagement and misappropriation by Cooper, Joe Briguiglio (another defendant), and others. (Matsushima Decl., ¶¶ 18-19.)

In March 2025, the Department issued its Compliance Review of Defendant. (Kaiser Decl., ¶¶ 48-49; Exh. 17.) The Department determined that Defendant submitted claims and received Program funds for expenses in violation of federal and state law, the TEFAP Manual, and the terms and conditions of the applicable Agreements. (Exh. 17, at pp. 3, 42.)

The evidence indicates that The Department and Defendant entered into several written Agreements between at least 2006 and 2024, and Defendant repeatedly breached these Agreements by requesting and receiving at least $13,074,987.74 in reimbursement based on misrepresentations to the Department that the expenses complied with applicable Agreements. The Department expressly detailed the basis for each dollar of damages it claims. (Kaiser Decl., ¶¶ 50-146; Exhs. 1-5, 15, 20-30, 65-79, 90-92, 102.) This evidence is sufficient to show probable validity of a breach of contract claim.

In opposition, Defendant argues that Plaintiff has not actually established a fixed contract debt. (Opposition, 4:19-5:15.) This argument is unconvincing. Although Plaintiff's legal claims arise from a variety of misconduct, every dollar identified is based on a contract Defendant had with the Department. Just because some misconduct may also sound in tort does not mean Plaintiff cannot seek attachment on the contract claims. (Samuels v. Superior Court of Los Angeles County (1969) 276 Cal.App.2d 264, 267.)

The Court concludes that Departments is likely to prevail on the merits.

B. Basis for Attachment

"[A]n attachment may be issued only in an action on a claim or claims for money, each of which is based upon a contract, express or implied, where the total amount of the claim or claims is a fixed or readily ascertainable amount not less than five hundred dollars ($500) exclusive of costs, interest, and attorney's fees." (Code Civ. Pro. § 483.010, subd. (a).) "An attachment may not be issued on a claim which is secured by any interest in real property arising from agreement …." (Code Civ. Pro. § 483.010, subd. (b).) "[A]n attachment will lie upon a cause of action for damages for a breach of contract where the damages are readily ascertainable by reference to the contract and the basis of the computation of damages appears to be reasonable and definite." (CIT Group/Equipment Financing, Inc. v. Super DVD, Inc. (2004) 115 Cal.App. 4th 537, 541.)

Here, the Department's application for writ of attachment is based on the contracts entered into with Defendant. There is no evidence that the claim is secured by an interest in real property.

The Department has explained that typographical errors in the moving papers resulted in the total amount eligible for attachment being different than what is described in the underlying evidence. (Reply, 7:3-7:21.) The Court accepts the Department's rationale and has not seen any admissible evidence which shows that the total amount subject to attachment is not readily ascertained.

The Court, however, does invite arguments as to whether the Department has adequately established the amount of its damages. The requested figure—$13,074,987.74—is very large. Defendant makes a number of arguments that appear to challenge that figure, including those asserted at pages 7-9 of Defendant's 8/7/2026 Opposition. These arguments appear to be challenging the validity of Plaintiff's damages figure but the arguments being asserted by Defendant are not clear to the Court. The Court deals with certain of the arguments below in the context of offsets, but is willing to entertain whether there is a flaw in the manner the Department is calculating damages. Both parties should be prepared to discuss this issue at the hearing.

C. Purpose and Amount of Attachment

Code of Civil Procedure section 484.090 states that the Court shall issue a right to attach order if "the attachment is not sought for a purpose other than the recovery on the claim upon which the attachment is based . . . [and] the amount to be secured by the attachment is greater than zero." The Department satisfied these requirements. (See Application ¶ 4.)

D. Reduction of Amount to be Secured

Code of Civil Procedure section 483.015, subd. (b) provides that the amount to be secured by the attachment shall be reduced by, inter alia: "(2) The amount of any indebtedness of the plaintiff that the defendant has claimed in a cross-complaint filed in the action if the defendant's claim is one upon which an attachment could be issued." Defendant has the initial burden of proof to satisfy the requirements of attachment for any offset claim. (See Code Civ. Pro. § 483.015 and Lydig Construction, Inc. v. Martinez Steel Corp. (2015) 234 Cal.App.4th 937, 945.) Among other requirements, “the contract sued on must furnish a standard by which the amount due may be clearly ascertained and there must exist a basis upon which the damages can be determined by proof.’” (See CIT Group/Equipment Financing, Inc., supra, 115 Cal.App.4th at 541.)

Defendant states:

If property or equipment purchased with state funds has been returned, transferred, credited, retained, or otherwise accounted for, those values must be addressed before Plaintiff can claim a fixed amount for attachment. Plaintiff cannot obtain attachment based on a gross figure while reserving credits, offsets, returned property, and valuation issues for another day.

(Reply, 9:22-25.)

In calculating the amount to be secured by an attachment, the court shall account for the “amount of any indebtedness of the plaintiff that the defendant has claimed in a cross-complaint filed in the action[.]” (Code Civ Proc., § 483.015, subd. (b)(2).) Defendant, however, has filed no such cross complaint. Defendant has also submitted no evidence which would indicate any indebtedness of the plaintiff. Therefore, the amount to be attached will not be reduced.

E.
Exemptions

Defendant requests that the Court exempt their bank accounts. However, because Defendant is a corporation, there is no exemption for personal property, like bank accounts. (Code Civ. Proc., § 487.010 [all corporate property is subject to attachment].) Defendant also did not introduce evidence to indicate that attaching bank accounts (or any other property) would exceed the claimed damages.

F.
Undertaking

Code of Civil Procedure section 489.210 requires the plaintiff to file an undertaking before issuance of a writ of attachment. Code of Civil Procedure section 489.220 provides, with exceptions, for an undertaking in the amount of $10,000. Plaintiff has not yet filed an undertaking at the time of the application, but must do so.

G.
Subject Property

Plaintiff requests attachment of any property of Defendant. (Application ¶ 9a.) That request is proper. “[A]ll corporate property for which a method of levy is provided by Article 2 (commencing with Section 488.300) of Chapter 8” may be attached. (Code Civ. Pro. § 487.010, subd. (a).)

H.
Attorneys Fees

Code of Civil Procedure section 482.110, subd. (b) provides, “[i]n the discretion of the court, the amount to be secured by the attachment may include an estimated amount for costs and allowable attorney’s fees.”

No attorneys fees or costs are requested.

CONCLUSION

The Court GRANTS the writ of attachment.

IT IS SO ORDERED.

Dated: August 21, 2026

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Joseph Lipner

Superior Court Judge